TCS India Policy - Variable Compensation

Version 9.0

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Document Release Notice

This Policy on Variable Compensation Version 9.0, is published for use in TATA Consultancy Services (TCS) with effect from 1 April 2026.

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The latest version of this document is available on the HR Policy Hub.

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Introduction

TCS compensation process links organization strategy with its objective in ways that create and foster a culture of high-performance in the organization. TCS offers a plethora of learning and job opportunities to ensure continuous learning and capability development of employees, which enables us to be the partner of choice for our customers.

The Performance Management System at TCS is closely linked with employee compensation and is based on the performance of the Individual, Business Unit (IOU), Organization, and other parameters as outlined in this document.

Applicability

The policy is applicable to:

- All Full-time employees of TCS India.

This policy is not applicable to:

- Business Associates, All Interns, Contract Consultants
- Employees in Consent Award Grades.
- Employees receiving statutory bonus in lieu of Monthly Performance Pay and Quarterly Variable Allowance

Purpose

The purpose of the policy is to reward an employee for individual performance as well as contribution to the IOU and organization in line with key organizational imperatives.

Provisions

1. Variable Compensation forms a part of an employee's compensation.
2. Variable Compensation is based on the following:
    - Employee's CTC: The Variable compensation is a ratio of the CTC, which may differ based on the grade of the employee.
    - Employee's performance: The Performance is evaluated post the anniversary / year end performance review process for the FY.

    Refer TCS India Policy- Anniversary review and TCS Global Policy – Performance Management for more detail on performance review process in case on anniversary/annual appraisal.

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3. Variable Compensation may be disbursed as one or more components.

    Refer Appendix A for the current components of the Variable Compensation

4. Variable Compensation details are communicated to the employees through compensation letters that are issued at the completion of various milestones. The Variable compensation components will be applicable only if mentioned in the latest compensation letter.
5. The Variable Compensation paid as a component of the salary and processed through payroll.

Note:

Variable Compensation shall be treated as a productivity bonus in lieu of statutory profit bonus.

Terms and Conditions

1. TCS management reserves the right to change or discontinue any/all provision/s of this policy including but not limited to the structure of Variable compensation and procedure of disbursement, at any point of time.

Appendix A

Current Variable Compensation Components

The two components of the Variable Compensation are as follows:

1. **Performance Pay**
    a. Eligibility of this component of the Variable Compensation is based on grade and individual's performance and other organization imperatives like Deployment Index (DI) and Work From Office (WFO) Compliance etc as communicated from time to time and is paid through monthly payroll.
    b. The amount is reviewed on account of compensation changes (if any) during the Fiscal year and constitutes a percentage of the overall Variable Compensation.

2. **Performance Bonus**
    a. Eligibility for this component of the Variable compensation is based on multiple factors such as the grade and performance of the individual, one's capability development in line with organizational requirements, , fluidity demonstrated by the individual per laid guidelines, , performance of the company and respective unit, and adherence to organizational policies, guidelines and imperatives as communicated from time to time.
    b. The percentage of the potential amount to be paid for the quarter/year is decided and announced after the close of the quarter/year based on the Company, Unit performance and other factors during the applicable period.
    c. This component of the Variable Compensation is payable post announcement of quarterly/ annual results for grades up to and equivalent to C4. For employees in C5 equivalent and SP grades, the Performance Bonus is paid on an annual basis.

Note:

1. *In case of resignation, employees at grades up to & equivalent to C4 will be eligible for Performance Bonus payout for the quarter, provided Release date is after the date of announcement of Performance Bonus payout.*
2. *In case of resignation, employees at C5 or SP equivalent grades will be eligible for Performance Bonus for the year, provided Release date is after the date of announcement of Performance Bonus payout.*

Revision List

Revision Version No.	Policy effective date	Document Release/ Revision Date	Revision Description	Section No.	Rationale for change	Change type (add/modify/delete)	Policy revision/ Document revision
9.0	1 Apr 26	17 May 2026	Document has been renamed from TCS India Policy – Performance Pay to TCS India Policy – Variable Compensation	Title of the document	Change of Compensation Approach	Modify	Policy revision
9.0	1 Apr 26	17 May 2026	Employees receiving statutory bonus in lieu of Monthly Performance Pay and Quarterly Variable Allowance are excluded from the scope of this document.	Applicability	For better clarity	Delete	Policy revision
9.0	1 Apr 26	17 May 2026	Performance Pay has been renamed as Variable Compensation. Performance Pay and Performance Bonus will be a part of overall Variable Compensation	Throughout the document	Change of Compensation Approach	Modify	Policy revision
9.0	1 Apr 26	17 May 2026	Monthly Performance has been renamed as Performance Pay Performance Pay and Performance Bonus will be a part of overall	Throughout the document	Change of Compensation Approach	Modify	Policy revision
9.0	1 Apr 26	17 May 2026	Factors affecting Performance Pay & Performance Bonus modified	Appendix A	Change of Compensation Approach	Modify	Policy Revision
9.0	1 Apr 26	17 May 2026	Deployment Index (DI) and Work From Office (WFO) Compliance would impact Performance Pay instead of Performance Bonus	Appendix A	Change of Compensation Approach	Modify	Policy Revision
8.0	1-Apr-24	1-Apr-24	Adherence to organizational policies, guidelines and imperatives included as a factor determining payout of Performance Pay	Appendix	Policy Review	Modify	Policy Revision
7.0	1-Apr-23	21- Apr-23	Factors affecting Performance Pay modified	Appendix	Policy Review	Modify	Policy Revision
6.0	1-Jan- 23	27-Jan-23	Provided clarity on factors affecting Performance Pay	Appendix	Policy Review	Modify	Policy Revision
			Document level changes on template, paths and links owing	**Throughout the document**	Portal migration wef 1st April 2022 from	Modify *Note: Policy*	Document Revision

5.0	01-Apr-19	09-May-19	to portal migration from Knowmax MyHR(SharePoint platform) to Employee Services > HR Policy Hub (AEM platform).		Knowmax > MyHR (SharePoint platform) to Employee Services > HR Policy Hub (AEM platform).	*Effective date and Document Release / Revision Date remains the same since these are document level changes*	
5.0	01-Apr-19	09-May-19	The approach for calculation of Performance Pay has been revised and will be derived as a ratio of CTC	Provisions and throughout the document at relevant sections	Policy Review	Modify / Delete	Policy Revision
5.0	01-Apr-19	09-May-19	Specified that the Monthly Performance Pay and Performance Bonus will be calculated as a percentage of the overall Performance pay	Appendix A	Policy Review	Modify / Delete	Policy Revision
5.0	01-Apr-19	09-May-19	For SP grades, Performance Bonus will be paid yearly	Appendix A	Policy Review	Add	Policy Revision
4.0	01-Jul-09	21-Oct-16	Specified that Performance pay is based on tenure in the grade	Provisions	Documentation of current practice, for additional clarity	Added	Document Revision

4.0	01-Jul-09	21-Oct-16	Clarified that percentage of amount to be paid for the quarter to each individual is calculated basis	Appendix A	Documentation of current practice, for additional clarity	Added	Document Revision
4.0	01-Jul-09	21-Oct-16	Other document level changes to ensure relevance	Throughout the document	For clarity	Modified	Document Revision
3.0	01-Jul-09	15-Dec-09	Removal of the clause Performance Pay entitlement on Promotion	Appendix B	Revision in the Performance Pay entitlement post Promotion is under review.	Delete	Document Revision
3.0	01-Jul-09	01-Jul-09	Addition of a clause specifying that Performance Pay is also called Variable Allowance/Pay for new joinees in their offer letter	Provisions	To provide clarity on Performance Pay terminology used for New Joinees	Add	Document revision
3.0	01-Jul-09	01-Jul-09	Replacement of Confirmation Letter/ Confirmation rating/ Confirmation Period with Anniversary Review Letter/ Anniversary Review Rating or IPF/ Anniversary Review Period	Provisions and Appendix A and B	Policy updated in line with Anniversary Review Policy, which has replaced the Confirmation policy	Modify	Policy revision
2.0	01-Jan-09	01-Jan-09	Quarterly Performance Pay is now applicable to employees in the following grades: 1. All BPO grades (except BPO1) 2. S4 3. Trainees (Y, YG, YD Grades)	Appendix A and B	Based on Senior Management Recommendation	Modify	Policy revision

2.0	01-Jan-09	01-Jan-09	The quarterly performance pay is applicable to all new joinees	Appendix A and B	Based on Senior Management Recommendation	Modify	Policy revision
1.0	1-Apr-08	1- Apr-08	First Release	NA	NA	NA	NA